Market Regime Trading Playbook

Options, Stocks & Futures Strategies by Regime

1. Early Downtrend / Distribution

Lower highs forming, breadth deteriorating while price still looks okay, volume divergence, topping patterns.

Options

Strategy	Description	Downside	Risk Management
Bear put debit spread	Buy higher-strike put, sell lower-strike put — defined-risk bearish bet	Max loss = premium paid; theta decay if wrong on timing	Size 1–2% of capital; exit at invalidation level (prior swing high)
Protective collar on existing longs	Buy put + sell call against stock you hold	Caps upside while distribution plays out	Roll monthly; widen collar if IV is cheap
Bear call credit spread	Sell OTM call, buy further OTM call	Capped profit; assignment risk near expiry	Close at 50% max profit; hard stop if short strike breached
Long puts (near-term)	Direct bet on breakdown	Full premium loss if range holds; IV can be underpriced early in a top	Buy before IV expands, not after

Stocks

- **Trim/reduce beta**, rotate into staples/utilities/healthcare
- **Short high-beta names breaking down** on volume below key moving averages
- **Tighten trailing stops** on existing longs

Downside: Distribution phases are choppy, not clean — short squeezes are common. Single-name shorting carries unlimited loss risk + borrow cost. **Risk management:** Prefer index/ETF puts over single-name shorts; stop above recent swing high; small size given whipsaw risk.

Futures

- **Short index futures** (ES/NQ) as tactical hedge or directional short
- **Long VIX futures / VX calls** as a tail hedge

Downside: Leverage magnifies losses on a distribution-phase bounce (common — these ranges chop before breaking). **Risk management:** Stop above recent high; reduce size vs. a clean trend trade; treat as hedge first, alpha second.

Best of regime

Bear put spreads (options) · reduce beta + rotate defensive (stocks) · long VIX / short index as hedge (futures)

2. Range-Bound / Consolidation

Price oscillating between defined support/resistance, low-to-moderate realized vol, no clear trend.

Options

Strategy	Description	Downside	Risk Management
Iron condor	Sell OTM put spread + OTM call spread	Loss if price breaks either wing; gamma risk near expiry	Set wings at ATR-based range edges; exit at 50% max profit; avoid holding through earnings
Short strangle (advanced)	Sell OTM put + call, undefined risk	Unlimited loss potential on breakout	Hard premium-based stop (e.g., 2x credit received); or convert to condor
Double calendar	Sell near-term/buy longer-term at same strikes	Max loss if a large move happens immediately	Center strikes at range midpoint
Wheel (CSP → covered call)	Sell cash-secured puts, get assigned, sell covered calls	Obligated to buy if range breaks down; upside capped	Strike selection outside recent range boundaries

Stocks

- **Fade the range**: buy near support, sell near resistance, tight stops just outside the range
- **Pair trading / mean reversion** between correlated names

Downside: False breakouts, and ranges eventually break — often violently once they do (regime shift risk). **Risk management:** ATR-based stops just beyond range boundaries; reduce size as the range narrows (compression often precedes breakout).

Futures

- **Range fade**: sell near highs, buy near lows directly in the futures contract

- **Calendar/spread trades** between contract months to isolate carry, avoiding outright directional risk

Downside: Leveraged whipsaw losses if the range resolves into a breakout. **Risk management:** Stop beyond range edges; watch volume/OI for early breakout signals; cut size going into known catalysts.

Best of regime

Iron condors (options) · range fade with tight stops (stocks) · calendar/spread trades (futures)

3. Established Bull Trend

Higher highs/higher lows, price above rising moving averages, broad participation.

Options

Strategy	Description	Downside	Risk Management
Bull call debit spread	Buy lower-strike call, sell higher-strike call	Capped profit vs. outright call	Size 1–3%; roll strikes up as trend extends
Long calls / LEAPS	Direct upside participation, longer-dated reduces theta bite	Full premium loss on reversal; IV crush after strong rallies	Convert to spread to offset IV/theta; take partial profits into strength
Cash-secured puts	Sell puts below support to collect premium or acquire stock cheaper	Assigned stock in a sharper pullback than expected	Strike below clear technical support
Poor man's covered call (diagonal)	Long deep ITM LEAPS call + short near-term OTM call	Early assignment risk on short leg; more complex to manage	Actively manage/roll the short leg

Stocks

- **Buy pullbacks to rising 20/50 EMA**
- **Add to strength on confirmed breakouts** (pyramiding)
- **Favor relative-strength leaders** within the trend

Downside: Trend reversals and deeper-than-expected pullbacks. **Risk management:** Trailing stop below the rising moving average; size by ATR/volatility, not fixed dollar amounts.

Futures

- **Long futures with trailing stop**, adding on new highs with reduced size (pyramiding)

Downside: Leverage → large drawdowns on reversal; gap risk overnight. **Risk management:** ATR-based stops; reduce size as the trend matures/extends; use options collars to lock in gains without exiting the position.

Best of regime

Bull call spreads / LEAPS + spread conversion (options) · buy-the-dip with trailing stop (stocks) · trend-following long with pyramiding (futures)

4. Quiet Uptrend

Low realized volatility, steady grind higher, shallow pullbacks, low VIX.

Options

Strategy	Description	Downside	Risk Management
Put credit spreads / CSPs	Collect premium from upward drift + low vol	Limited profit; tail risk if vol spikes suddenly	Strikes well below support; close at 50–70% max profit
Covered calls	Extra yield on existing holdings	Caps upside if a sudden rally occurs	Strikes above technical resistance; roll up/out
Calendar spreads	Harvest time-decay differential in a low-IV environment	Loses edge if vol expands sharply	Monitor VIX term structure for early vol-regime warnings

Regime-wide caution: Premium is cheap because realized vol is low — that's also the trap. A quiet uptrend can end abruptly (vol regime shift), and short-premium positions get hurt disproportionately relative to the income collected. **Risk management:** Size conservatively — the reward-to-risk on premium selling is worse than it looks in a quiet regime.

Stocks

- **Accumulate on shallow dips**; tighter stops are viable given low ATR
- **Rotate into steady compounders / low-beta names**

Downside: Complacency; a quiet regime can transition to volatile without warning. **Risk management:** Keep stops tight relative to ATR, but plan explicitly for gap risk on regime transition.

Futures

- **Long futures, tight stops** (low ATR keeps % risk small even with tight nominal stops)
- **Carry/calendar trades**

Downside: Negative carry in contango markets; small grinding edge. **Risk management:** Watch vol term structure for early signs of regime shift; take profits systematically rather than letting positions run unmanaged.

Best of regime

Put credit spreads sized conservatively (options) · accumulate dips with tight stops (stocks) · long futures + carry trades (futures)

5. Crash / Panic Selloff

Sharp, high-velocity decline, VIX spiking, correlations going to 1, capitulation volume.

Options

Strategy	Description	Downside	Risk Management
Pre-existing long puts / VIX calls	Hedges established *before* the crash pay off here	If entering fresh now, IV is already extremely elevated — expensive entry	Take profits into the panic on existing hedges rather than paying up for new ones
Put ratio backspreads	Cheap continued-downside exposure with defined risk on the short leg	Complex structure; can lose if move stalls near short strikes	Only for experienced traders; define exit before entry
Avoid initiating short premium (naked puts, credit spreads)	—	IV crush is unpredictable, margin calls, severe gap risk	Simply don't sell premium into a live panic

Stocks

- **Raise cash, reduce leverage**, avoid catching the falling knife
- If experienced: **very small, staggered entries** into high-quality names at extreme oversold readings (capitulation volume, RSI extremes)

Downside: Crashes routinely overshoot fair value; liquidity gaps mean stops can fill far worse than expected. **Risk management:** Small size, limit orders (not market), staggered/DCA entries, never all-in on a single "bottom" guess.

Futures

- **Hedge existing longs with short index futures** rather than initiating fresh directional bets

- If trading actively: expect violent two-way whipsaws

Downside: Massive volatility, margin calls, overnight gap risk, possible circuit breakers/halts. **Risk management:** Drastically reduce position size (vol-adjusted sizing), avoid overnight exposure where possible, widen stops but cut size to compensate.

Best of regime

Pre-positioned hedges (long puts/VIX calls) rather than new ones · raise cash / avoid new stock entries · hedge via index futures, not fresh directional bets

6. Volatile Recovery Rally

Sharp bounce off a crash/selloff low, still-elevated realized and implied vol, unconfirmed trend.

Options

Strategy	Description	Downside	Risk Management
Bull call debit spread	Participate in the bounce with defined risk; spread structure offsets still-high IV	Loses if the rally fails and reverses (common in bear-market rallies)	Smaller size than a normal bull-trend trade
Put credit spreads	Elevated IV means rich premium; benefits from vol crush + stabilization	Loss if selloff resumes and breaches short strike	Strike below the recent panic low, not just recent support
Iron condors	—	Still risky here — swings remain large enough to threaten both wings	Avoid, or widen wings substantially beyond normal range

Stocks

- **Selective buying of oversold leaders on confirmation** (reclaim of key MA, volume expansion on up days)
- **Avoid chasing low-quality/high-beta "junk rallies"** unless trading tactically

Downside: Bear-market rallies fail hard and often; sharp V-reversals back down are common. **Risk management:** Smaller size, multi-timeframe confirmation before entry, tight stops below the recent swing low.

Futures

- **Tactical long futures** with tight stops and quick profit targets
- **Fading exhaustion extremes** within the rally (advanced, mean-reversion scalping)

Downside: Very high whipsaw risk, false breakouts common. **Risk management:** Reduced size, fast stops, avoid overnight holds where feasible.

Best of regime

Bull call spreads / put credit spreads over outright calls (options) · confirmed-strength buying only, small size (stocks) · tactical longs with tight stops, no overnight hold (futures)

Quick Reference Summary

Regime	Options	Stocks	Futures
Early Downtrend/Distribution	Bear put spreads, bear call credit spreads	Reduce beta, rotate defensive	Short index as hedge, long VIX
Range-Bound/Consolidation	Iron condors	Fade range with tight stops	Range fade, calendar spreads
Established Bull Trend	Bull call spreads, LEAPS + spread conversion	Buy dips, trail stop below rising MA	Long with trailing stop, pyramid
Quiet Uptrend	Put credit spreads (small size)	Accumulate shallow dips	Long + carry trades
Crash/Panic Selloff	Use pre-existing hedges; avoid new short premium	Raise cash, minimal staggered entries	Hedge via short futures only
Volatile Recovery Rally	Debit/credit spreads over naked options	Confirmed-strength buys, small size	Tactical, tight stops, no overnight

Cross-regime principle: Position sizing should scale inversely with realized/implied volatility — the same dollar stop distance means very different risk in a Quiet Uptrend vs. a Crash regime. If your GMM/HMM output gives regime probabilities rather than hard labels, size positions proportionally to confidence, and default to the more conservative regime's playbook when probabilities are mixed.